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QuantumEdge Corp — Annual Report — Fiscal Year 2024

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Letter to Shareholders

By Marcus Webb, Chief Executive Officer

Dear Shareholders,

In FY2024, **QuantumEdge Corp** delivered revenue of **$18.7B (+62%)**, net income of **$2.4B**, and a gross margin of **61.1%**. Our **QE-Pro GPU** is gaining adoption in inference workloads where total cost of ownership matters most to buyers.

We are announcing **QuantumCloud Service**, a managed AI inference API launching in FY2025.

NexaCore holds a dominant position in AI training, and we respect it. But training is only one part of an AI infrastructure market that is rapidly expanding into inference, and that is where we see the largest opportunity.

Marcus Webb Chief Executive Officer (appointed 2017)

(Source: QuantumEdge FY2024 Annual Report, Letter to Shareholders)

Business Overview

Products

QE-Pro GPU

High-memory general-purpose AI GPU used for both training and inference.

QE-Nano

Inference-optimized chip for edge deployment.

EdgeNet Software Platform

An open ecosystem for AI deployment and orchestration with **2,100 third-party integrations**.

QuantumCloud

Managed AI inference API, launching in FY2025.

Competitive Position

We acknowledge **NexaCore's X2** as the market leader for training workloads. QuantumEdge positions on three pillars:

1. **Lower price per FLOP**
2. **Open software ecosystem**

3. **Multi-cloud flexibility**

We do not need to match NexaCore on training benchmarks to win a large and growing inference market.

Manufacturing

QuantumEdge is **fabless** and uses **GlobalChip** in South Korea for fabrication. We have **no Taiwan exposure**, which we consider a **supply-chain risk advantage** relative to competitors dependent on Taiwanese foundries.

Customers

QuantumEdge serves **1,800 enterprise customers** and is growing in the mid-market segment. No single customer accounted for more than **8% of revenue**. We had **9,200 employees** at year-end.

(Source: QuantumEdge FY2024 Annual Report, Business Overview)

Financial Results FY2024

Metric	QuantumEdge FY2024	NexaCore FY2024 (for reference)
Revenue	$18.7B	$29.5B
Revenue growth	+62%	+108%
Gross Profit	$11.4B	$21.2B
Gross Margin	61.1%	71.9%
R&D Expense	$3.1B	$4.9B
Operating Income	$2.8B	$11.1B
Operating Margin	15.0%	37.6%
Net Income	$2.4B	$9.8B
EPS (diluted)	$2.12	$3.91
Free Cash Flow	$1.9B	$8.4B

Segment Revenue

Segment	FY2024 Revenue
AI Training GPUs	$9.8B
AI Inference	$5.4B
EdgeNet Software	$2.1B
Services & Other	$1.4B
Total	**$18.7B**

(Source: QuantumEdge FY2024 Annual Report, Management Discussion and Analysis)

Risk Factors

Competition Risk

NexaCore Market Leadership

NexaCore dominates training with approximately **72% market share**. The X2 performance advantage is real. NexaCore's next-generation products could extend its lead.

Patent Litigation Risk

Claims Against NexaCore (Addendum)

Addendum filed November 2025 (Form 10-K/A) to update subsequent events: In **September 2025**, QuantumEdge filed patent infringement claims against NexaCore relating to HBM memory controller architecture. The outcome is uncertain.

Margin Compression Risk

Gross Margin Gap

Our **61% gross margin** compares with NexaCore's **72%**. We must invest to close the gap through software mix and scale.

Manufacturing Concentration Risk

GlobalChip South Korea

GlobalChip in South Korea is our primary manufacturer. The South Korean semiconductor sector is less geopolitically exposed than Taiwan's, but this **single-foundry exposure** is not risk-free.

(Source: QuantumEdge FY2024 Annual Report, Risk Factors)

FY2025 Outlook

Metric	Guidance
Revenue	$26–30B
Gross Margin	64–66%
QuantumCloud contribution (H1 FY2025 launch)	$0.8–1.2B

(Source: QuantumEdge FY2024 Annual Report, Outlook)